

MERIDIAN TECHNOLOGIES PVT. LTD.

Internal Policy Document

Leave Policy

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1. Introduction and Scope

Purpose of the Policy

This policy governs all categories of leave available to permanent employees of Meridian Technologies Pvt. Ltd. It applies to all employees on the company's payroll, including those on probation, with specific clauses noted where probationers are treated differently.

The intent of the policy is to provide a transparent, consistent and statutorily compliant framework that balances the wellbeing of employees with the operating needs of the business. It also acts as the single source of truth for managers, HR Business Partners, and the Payroll team when administering leave entitlements.

Any deviation from this policy must be authorised in writing by the HR Head and recorded in the employee's personnel file maintained by the HR Operations team.

Applicability and Leave Year

The leave year follows the calendar year and runs from 1 January to 31 December. All entitlements reset on 1 January each year unless explicitly stated as carry-forward.

The policy applies to all employees on the rolls of Meridian Technologies Pvt. Ltd. across India locations. Employees on international assignment continue to be governed by this policy, subject to local statutory minimums of the host country where these are more favourable.

Governance and Review

The HR Head is the policy owner and is responsible for periodic review, updates, and clarifications. The policy is reviewed at least once every two years or earlier if regulatory changes warrant.

Interpretation of any clause in this document is the sole prerogative of the HR Head, in consultation with the Legal team where statutory provisions are involved.

2. Types of Leave

Categories Recognised

Meridian Technologies provides the following categories of paid leave: Earned Leave (EL), Sick Leave (SL), Casual Leave (CL), Maternity Leave, Paternity Leave, Bereavement Leave, and Marriage Leave. Special unpaid leave categories include Leave Without Pay (LWP) and Sabbatical Leave.

Each category serves a distinct purpose and the eligibility, accrual and approval rules differ across them. Employees are encouraged to read the relevant section before applying.

Annual Entitlement Snapshot

Annual entitlements for confirmed employees: 18 days Earned Leave, 12 days Sick Leave, and 6 days Casual Leave per calendar year. Probationers receive a pro-rated entitlement based on date of joining.

Pro-ration for new joiners is computed on the basis of completed calendar months of service in the leave year. A fractional month of 15 days or more is treated as a completed month for accrual purposes.

Treatment of Weekly Offs and Holidays

Saturdays, Sundays and declared public holidays falling within a stretch of leave are not counted against the employee's leave balance, except where the rules of a specific leave category state otherwise.

Prefixing or suffixing of weekly offs and holidays to leave is permitted subject to manager approval and the operational needs of the team.

3. Earned Leave (EL)

Annual Entitlement

Confirmed employees are entitled to 18 days of Earned Leave per calendar year, credited at the rate of 1.5 days per completed month of service.

Probationers accrue EL at the same rate but cannot avail it until confirmation, except in special circumstances approved by HR.

Crediting happens in advance on the first day of each calendar month. In the event of separation, any excess EL availed beyond the pro-rated entitlement is recovered from the final settlement.

Carry Forward

Unused Earned Leave may be carried forward to the next calendar year subject to a maximum accumulation of 30 days.

Any EL balance beyond 30 days as on 31 December will lapse automatically unless encashed during the encashment window.

The carry forward limit is intended to encourage employees to take adequate time off for rest and personal commitments while still preserving a reasonable reserve.

Minimum and Maximum Block

Minimum EL that can be availed at a stretch is 0.5 day (half day). Maximum continuous EL is 15 working days; longer durations require Business Unit Head approval.

EL must be applied at least 7 calendar days in advance for durations of 3 days or more.

Last minute EL is discouraged and may be declined by the Reporting Manager if business continuity is at risk. In such cases the employee will be requested to reschedule.

Planning and Forecasting

Each team is expected to maintain a leave plan for the calendar year by 31 January. The plan is a non-binding indicator that helps Reporting Managers plan around critical delivery milestones.

Managers are expected to actively encourage team members to consume at least 10 days of EL during the year for rest and recovery.

4. Sick Leave (SL)

Entitlement and Use

Confirmed employees are entitled to 12 days of Sick Leave per calendar year. Sick Leave cannot be clubbed with Earned Leave or Casual Leave for vacation purposes.

Sick Leave of 3 or more consecutive days requires a medical certificate from a registered medical practitioner, to be submitted within 7 days of return.

For shorter durations a self-declaration through the HRMS is sufficient, although the Reporting Manager may request additional documentation if a pattern of misuse is observed.

Lapse and Encashment

Sick Leave does not carry forward to the next calendar year and lapses automatically on 31 December.

Sick Leave is not encashable under any circumstances.

The non-encashable nature of SL is intentional and ensures the benefit remains aligned with its primary purpose, which is recovery from illness.

Hospitalisation and Extended Illness

In the event of hospitalisation or a serious illness lasting beyond the available SL balance, the employee may convert available EL to cover the absence, or apply for Leave Without Pay if EL is exhausted.

The Employee Assistance Program (EAP) and the Group Medclaim helpdesk should be engaged in parallel for medical and psychological support.

5. Casual Leave (CL)

Entitlement

Confirmed employees receive 6 days of Casual Leave per calendar year for short, unplanned personal needs.

CL is non-cumulative, non-encashable, and lapses on 31 December.

Probationers accrue CL on a pro-rated basis and may avail it once they complete 3 months of continuous service.

Rules

Casual Leave cannot be clubbed with Earned Leave under any circumstances. It may be clubbed with weekly off or public holidays.

Maximum continuous CL that may be taken is 3 days at a stretch.

Repeated casual leave on Mondays or Fridays may be reviewed by the Reporting Manager for a possible pattern of misuse.

6. Maternity and Paternity Leave

Maternity Leave

Female employees who have completed 80 days of service are entitled to 26 weeks of paid maternity leave for the first two children, in line with the Maternity Benefit Act.

For the third child onwards, maternity leave is reduced to 12 weeks paid. Adoptive and commissioning mothers are entitled to 12 weeks from the date of legal adoption or surrogacy delivery.

Pre-natal and post-natal medical check-ups during working hours are treated as on-duty and do not consume any leave balance.

Paternity Leave

Male employees are entitled to 10 working days of paid Paternity Leave, to be availed within 3 months of the birth of the child. This benefit covers up to 2 children.

Paternity Leave may be split into a maximum of two instalments to accommodate the immediate post-delivery period and any follow-up medical needs.

Return to Work Support

Employees returning from maternity leave are entitled to a flexible work arrangement for the first 6 months, including the option to work from home up to 3 days per week, subject to business needs.

Creche facility reimbursement is provided up to Rs. 7,500 per month per child up to the age of 6 years, as detailed in the Benefits Handbook.

7. Leave Encashment

Annual Encashment Window

Employees may encash unused Earned Leave (EL only) up to a maximum of 15 days per calendar year. Encashment is at the basic salary plus dearness allowance prevailing on 31 December.

The encashment window opens in the first week of December and closes on 20 December. Encashment is disbursed with the January payroll.

On Separation

On separation (resignation, retirement, or termination on grounds other than misconduct), any unused EL balance is encashed in full at the last drawn basic plus DA.

Encashment on separation forms part of the full and final settlement and is subject to applicable income tax provisions.

Exclusions

Encashment of Sick Leave and Casual Leave is not permitted under any circumstance.

Employees terminated for misconduct may forfeit the right to encashment as part of the disciplinary outcome, at the sole discretion of HR.

8. Leave Application Procedure

Where and How to Apply

All leave must be applied through the HRMS leave module. Manual leave applications are accepted only when the HRMS is unavailable and must be regularised within 3 working days.

An auto-generated email notification is sent to the Reporting Manager when a leave request is raised. Employees are responsible for verifying that the leave has been approved before commencing the absence.

Approval Workflow

Approval workflow: Reporting Manager (first level) -> Business Unit Head (for EL of 5 days or more) -> HR for any clarifications. Sick Leave can be approved post-facto where prior notice was not possible.

Managers are expected to action leave requests within 2 working days. Requests not acted on within 5 working days are auto-escalated to the next level.

Unauthorised Absence

Unauthorised absence beyond 5 consecutive working days will be treated as voluntary abandonment of employment, subject to the disciplinary procedure in the Code of Conduct.

Repeated short unauthorised absences are also treated as misconduct and addressed through the standard disciplinary process.

9. Leave Without Pay

Eligibility and Approval

Leave Without Pay (LWP) may be granted at the discretion of the Reporting Manager and HR when an employee has exhausted all entitled paid leave.

LWP is not a right but a facility extended on a case-by-case basis after careful evaluation of the reason and the business impact.

Limits and Impact

LWP exceeding 30 calendar days in a year requires approval from the Business Unit Head and HR Head jointly. Extended LWP beyond 90 days may impact appraisal eligibility for the cycle.

During LWP the employee remains on the rolls of the company but does not earn salary, leave accrual, or service credit for the duration.

Benefits Continuity

Group medical cover continues during LWP up to 60 days. Beyond 60 days the employee may opt to continue cover by paying the applicable premium directly.

Provident Fund contributions are suspended during LWP and resume on the employee's return to active duty.

10. Holiday Calendar and Special Leave

Annual Holidays

The annual holiday calendar comprises 10 public holidays, of which 3 are restricted holidays employees may choose from a published list.

The holiday calendar is published by HR in the first week of December each year for the following calendar year.

Bereavement Leave

Bereavement Leave of 5 working days is granted on the death of an immediate family member (spouse, parent, child, sibling, parent-in-law).

An additional 5 days of EL or LWP may be granted at the manager's discretion for travel and last rites in the case of an out-of-station event.

Marriage Leave

Marriage Leave of 5 working days is granted once during the tenure of employment.

A copy of the marriage invitation or registration certificate must be submitted to HR for record purposes.